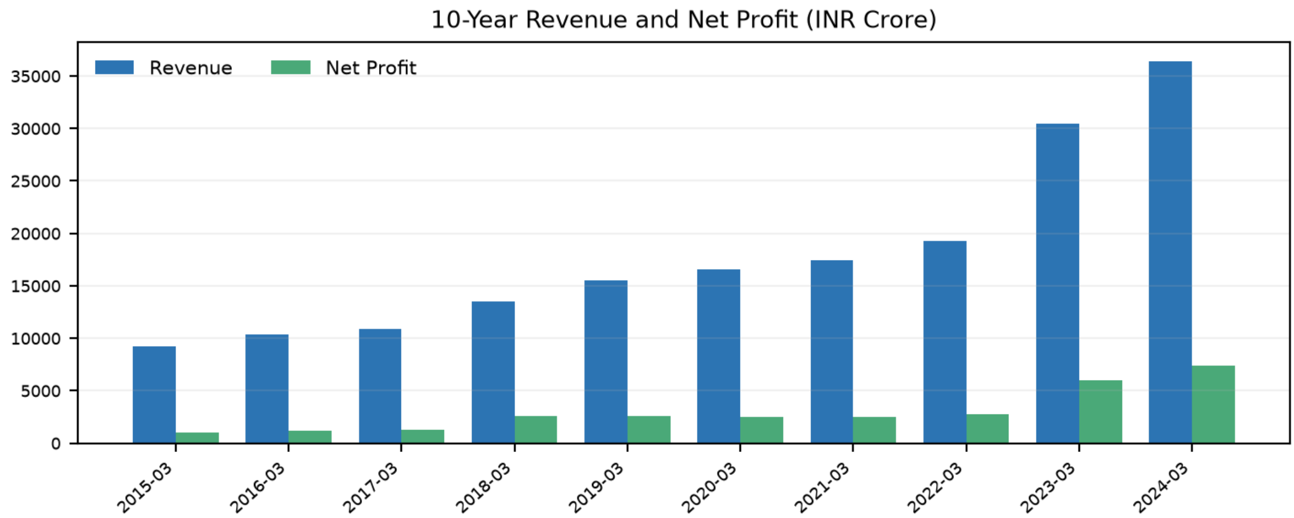
Shriram Finance Ltd

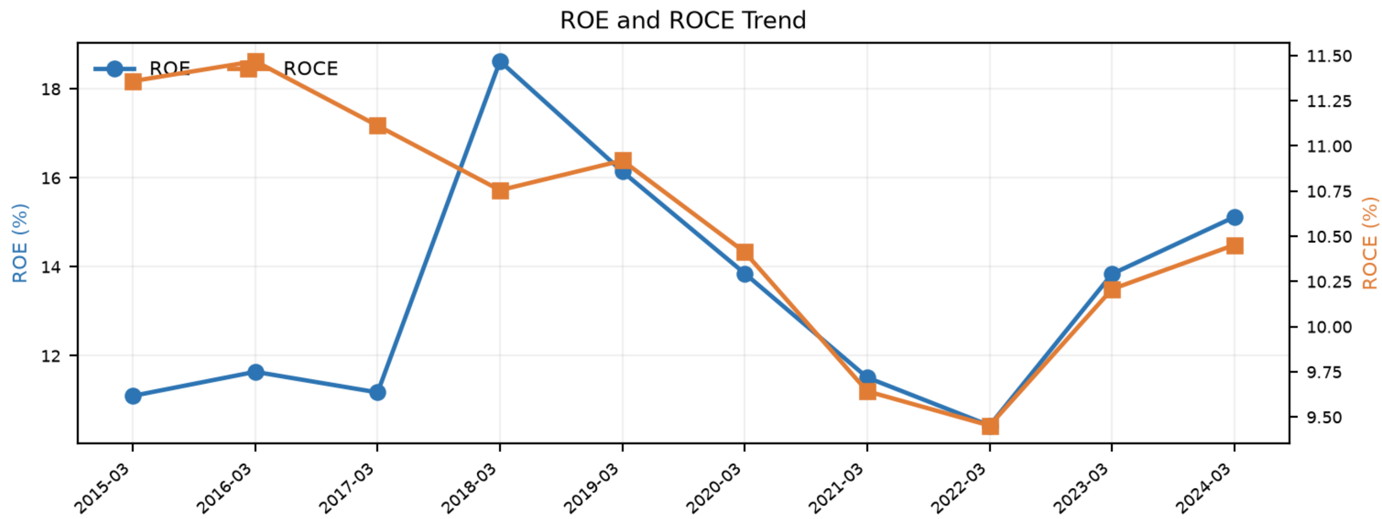
SHRIRAMFIN | Latest fiscal period 2024-03

25.5
HEALTH · Poor

ROE	ROCE	OPM
15.1%	10.5%	28.9%

DEBT / EQUITY	REVENUE CAGR 5Y	P/E
4.0x	18.6%	68.5x

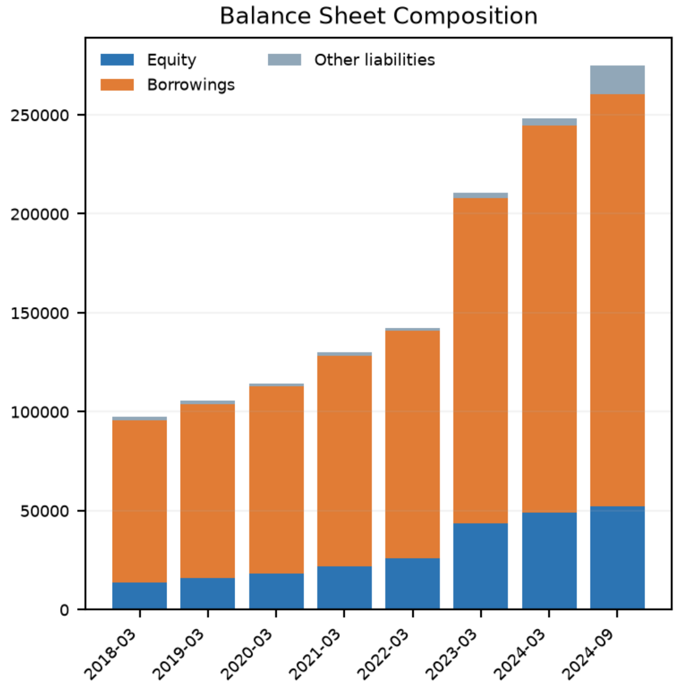


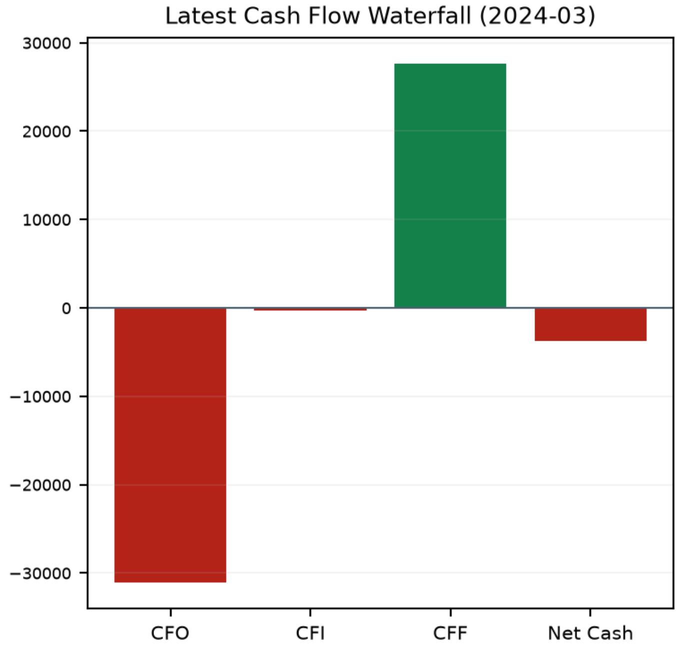


Shriram Finance Ltd

SHRIRAMFIN | Cash Flow · Balance Sheet · Signals

25.5
HEALTH · Poor





Pros

- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality

CAPITAL ALLOCATION · EXTERNALLY FUNDED INVESTMENT